Harbourline Insurance Group

Annual Report 2026

For the year ended 30 June 2026

FICTIONAL COMPANY. SYNTHETIC DATA CREATED FOR AN AI TRAINING DEMONSTRATION.

Harbourline and every person and organisation named in this document are invented.
Figures do not describe any real insurer. Do not rely on them.

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Harbourline Insurance Group (Harbourline) is a general insurer operating in Australia and New Zealand under the Harbourline, Tidewell Direct and Keel Commercial brands. All amounts are in Australian dollars and millions (A$m) unless stated. The financial year ends 30 June. Insurance revenue is reported under AASB 17 Insurance Contracts; the management view of underwriting results in this report reconciles to the statutory accounts in the Selected notes.

This document is entirely fictional and was written to test AI agents. It is deliberately imperfect.

FY26 AT A GLANCE

FY26 highlights

A$11,441m Gross written premium, up 9.8%	**14.1%** Insurance trading ratio (FY25: 13.5%)	**90.6%** Combined operating ratio (FY25: 92.8%)
A$987m Net profit after tax, up 13.7%	**13.8%** Return on equity (FY25: 12.8%)	**41 cents** Full-year dividend per share (FY25: 32 cents)
68.0% Net claims ratio (FY25: 69.0%)	**A$612m** Natural-hazard costs (FY25: A$520m)	**1.72x** PCA coverage multiple (FY25: 1.61x)

A record year of profit, strong premium growth and a sharp improvement in underwriting margin, delivered while we continued to support customers through a busy natural-hazard season.

CHAIR'S LETTER

A year of disciplined growth

Dear shareholders, on behalf of the Board I am pleased to present Harbourline's 2026 Annual Report. The Group delivered its strongest result in more than a decade, with net profit after tax rising to a record level and the insurance trading ratio at the upper half of our guidance range.

The Board recognises that premium increases have been felt by customers, particularly in northern Queensland where natural-hazard exposure and reinsurance costs are highest. Affordability remains one of our top priorities, and management has launched an affordability programme that includes new excess options, instalment flexibility and discounts for household mitigation work.

Our capital position is strong. The Board has declared a final dividend that brings the full-year dividend to 41 cents per share, and we will continue to assess options for capital held above our target range.

The Board also spent considerable time this year on operational resilience, including our preparedness under APRA's CPS 230 standard, and on the governance of artificial intelligence as we consider significant investment in claims transformation.

I thank our people for their commitment, particularly our claims teams who supported more than 180,000 customers affected by storms, hail and flooding during the year.

Margaret Doyle, Chair

CHIEF EXECUTIVE'S REVIEW

Stronger margins, more to do on affordability

FY26 was a year in which our pricing and underwriting discipline came through. Gross written premium grew 9.8% to A$11,441m, and our insurance trading ratio of 14.1% was comfortably within our guidance range of 13.5% to 15.5%.

Our reported net claims ratio improved by a full percentage point to 68.0%, reflecting the benefit of rate increases earning through and the strength of our reserving. We experienced a year of elevated but manageable natural-hazard activity, with costs of A$612m.

Underwriting expenses fell as a share of net insurance revenue, with the expense ratio improving to 22.6% as we simplified our operating model.

Investment income on technical reserves was lower, reflecting falling bond yields during the year.

Looking ahead, we will focus on keeping cover affordable, deepening our broker partnerships through digital integration, and making a step change in claims through data and AI.

James Whitford, Managing Director and Chief Executive Officer

STRATEGY PROGRESS

Progress against our five priorities

Priority	FY26 progress	Status
Motor & home margins	Home COR 86.9% and Motor COR 94.1%; average written premium up 12.0%	On track
Natural-hazard pricing & reinsurance	Hazard costs A$612m; catastrophe retention raised to A$250m	Mixed
Claims cost & experience	Average cycle time 17 days (target 14); claims NPS +2	Behind
Digital & AI productivity	Broker API pilot designed; AI claims business case in preparation	On track
Regulatory standing	No material breaches; AFCA complaints down 4%	On track

OPERATING AND FINANCIAL REVIEW

Group financial results

A$m	FY26	FY25	Change
Gross written premium	11,441	10,420	+9.8%
Insurance revenue	10,980	10,050	+9.3%
Reinsurance expense	(1,720)	(1,560)	+10.3%
Net insurance revenue (NIR)	**9,260**	**8,490**	**+9.1%**
Net claims expense	(6,300)	(5,860)	+7.5%
Underwriting expenses	(2,090)	(2,020)	+3.5%
Insurance profit	870	610	+42.6%
Investment income on technical reserves	435	540	(19.4%)
Insurance trading result	**1,305**	**1,150**	**+13.5%**
Insurance trading ratio (ITR)	**14.1%**	**13.5%**	**+0.6 pts**
Net claims ratio	68.0%	69.0%	(1.0 pts)
Expense ratio	22.6%	23.8%	(1.2 pts)
Combined operating ratio (COR)	90.6%	92.8%	(2.2 pts)

The insurance trading result rose 13.5% to A$1,305m. Ratios are expressed as a percentage of net insurance revenue. FY26 guidance was an ITR of 13.5% to 15.5%.

OPERATING AND FINANCIAL REVIEW

Underwriting performance

Net claims ratio: components

% of NIR	FY26	FY25	Change
Attritional claims (excluding natural hazards)	64.3%	63.7%	+0.6 pts
Natural-hazard claims	6.6%	6.1%	+0.5 pts
Prior-year reserve releases	(2.9%)	(0.8%)	(2.1 pts)
Net claims ratio	**68.0%**	**69.0%**	**(1.0 pts)**

Prior-year reserve releases were A$270m (FY25: A$70m), mainly from long-tail Commercial liability classes where claims have developed more favourably than expected. Attritional claims rose slightly as a share of NIR, reflecting higher motor repair costs and longer repair times.

Expense ratio

The expense ratio improved to 22.6% (FY25: 23.8%). From FY26, technology transformation costs are reported within corporate expenses rather than underwriting expenses (see Note 7).

Claims handling

Claims handling expenses of A$690m are included in net claims expense. Average cycle time for home claims was 17 days (FY25: 15 days) as hail and storm events increased volumes.

OPERATING AND FINANCIAL REVIEW

Premium growth drivers

Premium growth was driven by rate. Average written premium per policy rose 12.0%, while policies in force fell 2.0%.

Policies in force ('000)	FY26	FY25	Change
Motor	2,455	2,480	(1.0%)
Home	1,560	1,610	(3.1%)
Commercial	398	410	(2.9%)
New Zealand	290	300	(3.3%)
Group	**4,703**	**4,800**	**(2.0%)**

Retention was lowest in northern Queensland, where home policies in force fell 6.8% as premiums rose to reflect cyclone and flood exposure and higher reinsurance costs.

SEGMENT REVIEW

Motor

A$m	FY26	FY25	Change
Gross written premium	4,700	4,260	+10.3%
Net insurance revenue	3,830	3,520	
Net claims ratio	73.5%	76.7%	
Expense ratio	20.6%	21.6%	
Combined operating ratio	**94.1%**	**98.3%**	
Insurance profit	226	60	

Motor margins recovered strongly as rate increases earned through. Repair cost inflation eased but remained above general inflation. Natural-hazard costs in Motor were A$120m (FY25: A$110m), mostly hail. Reserve releases were A$40m (FY25: A$10m).

SEGMENT REVIEW

Home

A$m	FY26	FY25	Change
Gross written premium	3,420	3,080	+11.0%
Net insurance revenue	2,760	2,520	
Net claims ratio	62.1%	64.5%	
Expense ratio	24.8%	25.8%	
Combined operating ratio	**86.9%**	**90.3%**	
Insurance profit	362	245	

Home carried most of the year's natural-hazard costs at A$430m (FY25: A$360m). Despite this, the Home claims ratio improved, helped by rate and by A$50m of reserve releases (FY25: A$10m). Policies in force fell 3.1%.

SEGMENT REVIEW

Commercial

A$m	FY26	FY25	Change
Gross written premium	2,511	2,330	+7.8%
Net insurance revenue	2,010	1,860	
Net claims ratio	65.3%	61.8%	
Expense ratio	22.9%	25.3%	
Combined operating ratio	**88.2%**	**87.1%**	
Insurance profit	237	240	

Commercial remains our highest-margin segment. The result includes A$180m of reserve releases from long-tail liability classes (FY25: A$50m). SME package competitiveness in Western Australia was challenged during the year.

SEGMENT REVIEW

New Zealand

A$m	FY26	FY25	Change
Gross written premium	810	750	+8.0%
Net insurance revenue	660	590	
Net claims ratio	69.4%	65.3%	
Expense ratio	23.8%	23.7%	
Combined operating ratio	**93.2%**	**89.0%**	
Insurance profit	45	65	

New Zealand premium grew 8.0%, but margins narrowed as claims inflation in motor and home outpaced rate. No material natural-hazard events affected New Zealand during the year.

NATURAL HAZARDS AND REINSURANCE

Natural hazards and reinsurance

A$m	FY26	FY25
Natural-hazard costs (net)	612	520
Natural-hazard allowance	540	510
Cost above / (below) allowance	**72**	**10**
Home	430	360
Motor	120	110
Commercial	62	50

The largest events were the south-east Queensland hail storms in November and ex-tropical cyclone rainfall in northern New South Wales in February. Natural-hazard costs were above allowance for the fourth time in five years.

Reinsurance

Our catastrophe programme provides cover up to A$9.0bn for a one-in-200-year event. From 1 January 2026 we increased our first-event retention to A$250m (previously A$200m), which reduced reinsurance cost growth but increases our exposure to medium-sized events. Reinsurance expense rose 10.3% to A$1,720m.

INVESTMENTS

Investments

	FY26	FY25
Technical reserves portfolio (A$m)	12,100	11,700
Yield on technical reserves	3.6%	4.6%
Investment income on technical reserves (A$m)	435	540
Shareholders' funds portfolio (A$m)	3,700	3,200
Investment income on shareholders' funds (A$m)	260	210

Technical reserves are invested in high-quality fixed interest securities matched to claims liabilities. Lower yields reduced investment income on technical reserves by A$105m, a headwind of about 1.1 percentage points to the insurance trading ratio.

CAPITAL MANAGEMENT

Capital management and dividends

	FY26	FY25	Target
PCA coverage multiple	1.72x	1.61x	1.4x to 1.6x
Dividend per share (cents)	41	32	
Earnings per share (cents)	48.9	43.4	
Payout ratio	84%	74%	60% to 80%
Shareholders' equity (A$m)	7,300	6,900	

Our capital position strengthened during the year. The Board will continue to assess capital management options, having regard to the natural-hazard outlook and the reinsurance renewal.

OUTLOOK

Outlook and FY27 guidance

FY27 guidance	
Gross written premium growth	Mid to high single digit
Insurance trading ratio	13.5% to 15.5%
Natural-hazard allowance	A$640m
Prior-year reserve releases	Expected to normalise at around 1% of NIR

Guidance assumes natural-hazard costs in line with allowance, no material movement in foreign exchange or investment markets, and no material change in reserve releases beyond the level stated. Rate increases are expected to moderate as rate adequacy is achieved.

RISK MANAGEMENT

Risk management

Our Risk Management Framework is overseen by the Board Risk Committee. Material risks this year included natural-hazard volatility, affordability and conduct risk, cyber and information security, and delivery risk in large technology programmes.

Operational resilience. We implemented the requirements of APRA's Prudential Standard CPS 230 Operational Risk Management, which applied from 1 July 2025, including identifying critical operations, setting tolerance levels and managing material service providers.

Artificial intelligence. We established an AI governance forum to oversee model risk, privacy and customer outcomes as we consider wider use of AI in underwriting and claims.

Climate. We continue to assess the physical risk of climate change to our portfolio and publish climate-related disclosures separately.

FIVE-YEAR SUMMARY

Five-year summary

A$m unless stated	FY22	FY23	FY24	FY25	FY26
Gross written premium	8,650	9,300	9,760	10,420	11,441
Insurance trading ratio	11.2%	12.4%	12.9%	13.5%	14.1%
Combined operating ratio	95.8%	94.1%	93.6%	92.8%	90.6%
Natural-hazard costs	780	610	575	520	612
Natural-hazard allowance	480	500	520	510	540
Net profit after tax	520	640	760	868	978
Dividend per share (cents)	22	26	30	32	41

FINANCIAL STATEMENTS

Summary income statement

A$m	FY26	FY25
Insurance revenue	10,980	10,050
Reinsurance expense	(1,720)	(1,560)
Net insurance revenue	**9,260**	**8,490**
Net claims expense	(6,300)	(5,860)
Underwriting expenses	(2,090)	(2,020)
Insurance profit	**870**	**610**
Investment income on technical reserves	435	540
Investment income on shareholders' funds	260	210
Corporate and other expenses	(168)	(120)
Profit before tax	**1,397**	**1,240**
Income tax expense	(419)	(372)
Net profit after tax	**978**	**868**
Earnings per share (cents)	48.9	43.4

Corporate and other expenses in FY26 include A$48m of technology transformation costs (see Note 7).

FINANCIAL STATEMENTS

Summary balance sheet

A$m, at 30 June	2026	2025
Cash and investments	15,800	14,900
Premium receivables	3,100	2,950
Reinsurance assets	2,400	2,250
Other assets	3,000	2,900
Total assets	**24,300**	**23,000**
Insurance contract liabilities	13,900	13,300
Borrowings	1,400	1,300
Other liabilities	1,700	1,500
Total liabilities	**17,000**	**16,100**
Shareholders' equity	**7,300**	**6,900**

SELECTED NOTES

Selected notes

Note 3. Management view of underwriting results

The management view presents insurance revenue net of reinsurance expense as net insurance revenue (NIR), and expresses claims and underwriting expenses as ratios of NIR. The insurance trading ratio is the insurance trading result divided by NIR.

Note 7. Change in expense classification

From 1 July 2025, technology transformation costs (FY26: A$48m) are reported within corporate and other expenses instead of underwriting expenses, to better reflect their non-recurring nature. Comparative information for FY25 has not been restated. Had the FY26 costs been included in underwriting expenses, the FY26 expense ratio would have been 23.1%.

Note 12. Events after the reporting date

There were no events after the reporting date that materially affect these results.

GLOSSARY

Glossary

Term	Meaning
COR	Combined operating ratio: net claims ratio plus expense ratio
GWP	Gross written premium
ITR	Insurance trading ratio: insurance trading result as a percentage of NIR
NIR	Net insurance revenue: insurance revenue less reinsurance expense
PCA	Prescribed capital amount under APRA's prudential standards
Reserve releases	Reductions in the estimate of claims from prior years
Allowance	The natural-hazard cost assumed in the year's plan and guidance